Project Falcon: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

October 18, 2026

Proposed acquisition of Talonfield Systems, Inc. (NASDAQ: TLFS) by Arbelion Industries, Inc.

Fictional case study

Prepared by an AI multi-agent diligence system with human review

> This report is a draft for human decision-makers. It is not investment, legal or accounting advice. All companies, people and figures are fictional. Figures are US$ millions unless stated. "Calculated" means the diligence team combined figures from the cited sources. Allegations and rumors are labeled as such.

1. Executive summary

Proposed recommendation: Pause. Do not proceed at the current price of US$24.00 per share. The Investment Committee makes the decision. Re-engage only at a price rebuilt on current results, with the conditions in Section 7.

The deal model values Talonfield on a management case the company withdrew on August 6, 2026. On current numbers, US$24.00 is about 18.3x the company's new FY2026 EBITDA guidance and 15.1x LTM Adjusted EBITDA, not the 11.5x in the model. The revenue growth that supports the price was inflated by bill-and-hold sales. The largest customer can walk away because of this deal, and a patent case threatens the main product line. None of these issues is fatal on its own, but together they mean the current price does not hold.

Top five red flags

1. **FY2025 growth was inflated by bill-and-hold sales (X-01, Critical).** US$31.8 million of Q4 2025 hardware revenue was booked for robots still in Talonfield's warehouses. Without it, FY2025 growth was about 11.6% (reported 19.1%), Q4 grew about 5.1% (reported 32.4%), and the "record" Q4 missed consensus by about US$5.4 million. US$9.4 million has since been returned. These sales sit under an unremediated material weakness and are the subject of a securities class action (allegations).
2. **The largest customer is at risk (X-02, Critical).** Norvale is 31.1% of revenue. It can terminate on 90 days' notice if Talonfield is acquired and has no minimum volume. The 10-Q says the largest customer (Norvale per the 10-K) returned US$9.4 million of robots in May 2026. In June 2026 Norvale bought a robot maker to build its own robots.
3. **The Vantor patent case threatens Gen-3 (X-03, Critical).** Vantor claims at least US$140.0 million (12.1% of equity value) and will seek an injunction against Gen-3 robots, about 42% of revenue. The court adopted Vantor's position on three of four disputed terms on July 22, 2026. The 10-Q filed 15 days later does not mention that ruling and records no accrual. Trial is set for March 8, 2027.
4. **The valuation basis is stale (X-04, Critical).** Guidance was cut to revenue of US$470.0 to 490.0 million and Adjusted EBITDA of US$70.0 to 78.0 million, from US$560.0 million and US$118.0 million in the deal model. The 34% premium is also measured against a price already lifted 12% by the October 2 sale leak.
5. **Covenant compliance appears overstated (X-05, Critical, borderline).** The reported 2.26x leverage can only be reproduced without the credit agreement's 15% cap on add-backs. Capped, it is about 2.65x to 2.67x. On analyst projections, every guidance case breaches the 3.00x limit by December 31, 2026, which is likely before closing.

Valuation implications

Measure	Value
Equity value at US$24.00	1,159.2
Enterprise value (net debt 193.6 at June 30, 2026)	1,352.8
EV / stale FY2026E Adjusted EBITDA (118.0)	11.5x
EV / revised FY2026 guidance midpoint (74.0)	18.3x
EV / LTM company Adjusted EBITDA (89.7)	15.1x
EV / LTM analyst-adjusted EBITDA (72.6)	18.6x
Illustrative value per share at assumed 10.0x to 13.0x (after known debt-like items)	US$10.64 to US$19.75
Value at the model's own 11.5x on guidance midpoint / LTM	US$13.61 / US$17.35
Per-share effect of losing Norvale at 11.5x	-US$6.17 to -US$12.88
Per-share effect of Vantor payment at 96.4 / 140.0	-US$2.00 / -US$2.90

No case in the analysis reaches US$24.00. The highest illustrative value (US$19.75) is 17.7% below the offer. The US$35.0 million synergy target equals 39.0% of LTM Adjusted EBITDA, so the current price already pays away most of it.

2. Answers to the six IC questions

Q1. Is Talonfield's revenue growth real and sustainable?

Partly real, not sustainable at the reported rate. Reported FY2025 growth of 19.1% includes US$31.8 million of Q4 bill-and-hold revenue. Without it, growth was about 11.6% and hardware grew only 2.9% (X-01, SEC-02, FIN-18). Underlying growth slowed from about 14% in Q1 to Q3 2025 to about 5% in Q4, then to 0.7% and -4.0% in Q1 and Q2 2026 (FIN-01). LTM revenue (US$498.4 million) is a cleaner base, because the bill-and-hold amount and its partial reversal both fall inside it.

Leading indicators confirm the slowdown (X-11, FIN-12). Backlog fell from US$168.0 million to US$118.0 million. Hardware book-to-bill has been below 1.0x since FY2025. Net revenue retention fell from 118% to 111%. The company cut FY2026 guidance to a 4.4% revenue decline at the midpoint (SEC-01, NEWS-01), while the market is forecast to grow about 15% a year (NEWS-14). Software is still growing (ARR US$146.8 million, up 5.5% in H1 2026), which is the main positive.

Q2. Are there legal exposures that could reduce value or block closing?

Yes. Vantor is the largest; no case can block the merger by itself.

- **Vantor patent case (X-03, LIT-01 to LIT-03, LIT-11):** at least US$140.0 million claimed; Vantor's expert puts damages at US$96.4 million through trial, before any enhanced damages for alleged willfulness (LIT-12). A permanent injunction on Gen-3 is sought. Its scope over Gen-3 Plus, installed robots and FieldOS updates is undefined. News describes Vantor as one of two larger rivals, which may make an injunction more plausible; its royalty-only damages theory may cut the other way. A payment at the claimed amounts would exceed Talonfield's US$59.7 million of liquidity (FIN-21). Trial is March 8, 2027.
- **Securities class action (X-13, LIT-05, LIT-13, SEC-11):** filed June 3, 2026 against the company, the CEO and the former CFO. It alleges improper bill-and-hold revenue, "including sales the customer had

not requested", and hidden control weaknesses (allegations). Class period March 10, 2025 to May 12, 2026. No damages figure. The amended complaint is due November 9, 2026, three days after the IC meeting.

- **Pinecrest (LIT-07, SEC-14):** a customer claims US$12.0 million over the April 2026 outage. Talonfield says a contract cap limits it to about US$1.4 million. Hearing November 5, 2026.
- **Ruiz wage and hour case:** settled for US$3.2 million and accrued; final approval hearing November 13, 2026 (not verified, Low).
- **Timing (X-12, LIT-04):** nine litigation events fall between November 5, 2026 and March 8, 2027.

Q3. How dependent is Talonfield on key customers, and are those relationships at risk?

Highly dependent, and the top relationship is at risk. Norvale was 31.1% of FY2025 revenue (US$156.2 million) and 38% of receivables. The top 10 customers were 61.5% (FIN-11). All of Norvale's share gain in FY2025 came from bill-and-hold; without it, Norvale's share was flat at 28.0% (FIN-18).

Norvale can terminate on 90 days' notice on a change of control, has no minimum volume, and its contract ends September 30, 2027 (SEC-03). The largest customer returned US$9.4 million of robots in May 2026 (SEC-02). In June 2026 Norvale bought Kinetic Aisle to "reduce our dependence on any single vendor" and plans an in-house pilot in 2027 (NEWS-09). The available 10-Q excerpts do not mention this move (SEC-27). Losing Norvale would cost US$6.17 to US$12.88 per share at 11.5x (FIN-20).

Q4. Are there balance sheet, debt or liquidity issues we would inherit at closing?

Yes. Cash generation has collapsed. Operating cash flow fell from US$40.8 million in FY2024 to US$9.7 million in FY2025 and was negative US$4.2 million in H1 2026 (FIN-08). The revolver now funds the business: US$45.0 million drawn, US$25.8 million available, US$33.9 million of cash (X-10). Net debt is US$193.6 million, 4.0x LTM EBITDA (FIN-09).

A change of control is an event of default that allows lenders to demand repayment of the US$227.5 million of loans, so Arbelion should plan to repay or refinance at closing (X-10). The reported covenant ratio appears to skip the 15% add-back cap; capped, a breach of the 3.00x limit is projected by December 31, 2026 in every guidance case (X-05, FIN-17, SEC-25). That would be an event of default between signing and closing. Known debt-like items add about US$18.4 million to EV (FIN-20).

Q5. Are there management, governance or internal control concerns?

Yes, and they cluster around the FY2025 revenue (X-07). The outgoing auditor flagged a material weakness in Q3 2025 and planned extra work on Q4 deals; it was dismissed on November 10, 2025 (SEC-04). The CFO gave notice on January 20, 2026 and received US$0.9 million for a release (SEC-08); anonymous sources describe tension with the CEO over booking Q4 orders (rumor, NEWS-06). The new auditor gave an adverse controls opinion, and the weakness was still open at June 30, 2026 (SEC-05, NEWS-07). 2025 revenue cleared its bonus target only with bill-and-hold included, and bonuses paid at 142% of target (SEC-15, FIN-19).

Company statements and filings have repeatedly lagged adverse facts (X-08). Examples are the short report denial in the same month as the return, "strong hardware deliveries" against goods held in the warehouse (SEC-07), the "not material" cyber incident (X-09), and the 10-Q's silence on the Vantor ruling and Norvale's move. None has been shown to be false. Governance points: the CEO is also Chairman with no lead

independent director; all executive equity vests on a change in control (US$17.6 million); the CEO's family landlord can reset headquarters rent on a change in control (not verified, Medium and Low).

Q6. What price adjustments or deal protections should we ask for?

Reprice, then protect. At US$24.00 the deal does not hold on current numbers (X-04, FIN-20). The illustrative range is US$10.64 to US$19.75 per share, before any Norvale or Vantor downside. The specific protections are set out in Section 7. The most important are a Norvale waiver, a Vantor mechanism (license, settlement or contingent value right), a forensic review of Q4 2025, a lender plan for the covenant, a cyber indemnity, and signing only after the November events.

3. Risk matrix

Every verified finding (Verified or Partially verified, with corrected wording). Sorted by severity. Action types: Price, Structure, Condition, Indemnity, Further diligence.

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-01	Q4 2025 bill-and-hold sales (US$31.8 million) inflated FY2025 growth: underlying growth was about 11.6%, not 19.1%, and Q4 grew about 5.1%, not 32.4%. Without them Q4 missed consensus	Cross-source	**Critical**	**High**	Valuation; restatement and closing risk	Price on LTM and forward figures; forensic review of Q4 2025 contracts before signing; financial statement reps and a restatement termination right (Price, Condition, Further diligence)
X-02	Norvale (31.1% of revenue) can terminate on 90 days' notice on a change of control and has no minimum volume. The 10-Q says the largest customer (Norvale per the 10-K; not named in the 10-Q) returned US$9.4 million of bill-and-hold robots in May 2026. On or before June 24, 2026 Norvale bought Kinetic Aisle to build its own robots. The available 10-Q excerpts do not mention this, and Part II Item 1A adds no customer risk factor	Cross-source	**Critical**	High (facts) / Medium (intent)	Valuation; closing risk; post-closing revenue	Norvale waiver of the change-of-control right, ideally with an MSA extension, as a signing or closing condition; customer call; price a loss case (Condition, Price)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-03	Vantor patent case: at least US$140.0 million claimed (a demand) and US$96.4 million in Vantor's expert report; an injunction is sought against Gen-3 (about 42% of revenue; analysts say FieldOS 5 features need Gen-3 or newer). News calls Vantor a larger rival, which may make an injunction more plausible. The August 6, 2026 10-Q omits the adverse July 22 claim construction ruling and records no accrual	Cross-source	**Critical**	High (facts) / Low (outcome)	Valuation; closing risk; product roadmap; disclosure	Price the exposure or use a contingent value right; pre-signing license or settlement; no-injunction closing condition; buyer consent over settlement (Price, Structure, Condition)
X-04	Deal model uses guidance withdrawn on August 6, 2026. At US$24.00 the price is 18.3x the new guidance midpoint and 15.1x LTM Adjusted EBITDA, not 11.5x. The 34% premium is measured on a leak-inflated price	Cross-source	**Critical**	High (math) / Medium (scenarios)	Valuation and price	Rebuild the model on revised guidance, LTM and Q3 2026 actuals; reprice; measure premium against an unaffected price (Price)
X-05	Reported covenant leverage of 2.26x matches uncapped Adjusted EBITDA. On the literal credit agreement definition it is 2.67x (3.65x if stock-based compensation is capped), and every guidance case breaches the 3.00x maximum by December 31, 2026, likely before closing	Cross-source	**Critical**	High (back-solve) / Medium (definition, projections)	Interim default risk; liquidity; disclosure	Obtain the credit agreement and compliance certificates; lender waiver or refinancing plan at signing; no-default bring-down (Condition, Further diligence)
SEC-01	2026 guidance cut by 14.3% (revenue) and 37.3% (Adjusted EBITDA); the deal model still uses the withdrawn case	SEC filings	**Critical**	**High**	Valuation	Rebase the model on revised guidance (Price)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-02	Q4 2025 bill-and-hold revenue (US$31.8 million) drove much of reported growth; 29.6% has since been reversed. Note: Norvale is inferred from "largest customer"; 22.4 was later delivered, so most is timing	SEC filings	Critical	High	Valuation; restatement risk	Forensic review of bill-and-hold contracts (Further diligence, Price)
SEC-03	Largest customer (31.1% of revenue) can terminate on 90 days' notice if Talonfield is acquired	SEC filings	Critical	High	Closing risk; valuation	Norvale waiver as a condition (Condition)
NEWS-01	2026 guidance cut leaves the deal model on an outdated management case	News and media	Critical	High	Valuation	Rebase the model (Price)
NEWS-02	News items converge on how Q4 2025 hardware revenue was recognized	News and media	Critical	Medium	Revenue quality	See X-01 (Further diligence)
NEWS-03	Greyfin short report alleges bill-and-hold sales were used to hit 2025 revenue and bonus targets (allegation by an interested party)	News and media	Critical	Low (specific claims) / Medium (core point)	Revenue quality; reputation (allegation)	Test each Greyfin claim in diligence (Further diligence)
NEWS-09	Largest customer Norvale bought a robot startup to build its own robots	News and media	Critical	High	Customer revenue at risk	See X-02 (Condition, Price)
LIT-01	The Vantor patent case has turned against Talonfield since the July 22, 2026 claim construction order	Litigation	Critical	High (rulings) / Medium (trend)	Valuation; closing risk	See X-03 (Price, Condition)
LIT-02	Vantor's damages claim could exceed 10% of the equity value	Litigation	Critical	High (in the record) / Low (what is owed)	Valuation	See X-03 (Price, Structure)
LIT-03	Vantor will seek a permanent injunction against sales of Talon Gen-3 robots	Litigation	Critical	High (sought) / Low (granted)	Product and revenue risk	No-injunction condition; design-around plan (Condition)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
LIT-11	Vantor seeks a permanent injunction against Gen-3 sales; whether it would cover Gen-3 Plus, installed robots, service or FieldOS updates is undefined. Gen-3 is about 42% of FY2025 revenue, and analysts say FieldOS 5 features need Gen-3 or newer	Litigation	Critical	Medium	Product and software risk	Clarify injunction scope with counsel (Further diligence, Condition)
FIN-01	Q4 2025 revenue rose 32.4% and delivered 46.9% of FY2025 growth. Q4 included US$31.8 million of bill-and-hold revenue (9.4 later reversed). Without it, FY2025 growth was 11.6%, not 19.1%. Revenue fell 1.7% in H1 2026, which includes the 9.4 credit and 2.3 of service credits	Financial	Critical	High (math) / Medium (one-off reading)	Valuation base	See X-01 (Price)
FIN-11	Norvale is 31.1% of revenue and explains 47.3% of FY2025 growth. Refined by FIN-18: without bill-and-hold, Norvale grew 11.4% and its share was flat at 28.0%	Financial	Critical	High (math) / Medium (Q4 link)	Customer concentration	See X-02 (Condition, Price)
FIN-14	The deal model's management case is stale. On current results the offer is 15.1x LTM Adjusted EBITDA, not 11.5x. Refined by FIN-20: US$17.35 becomes US$16.97 after debt-like items	Financial	Critical	High (math) / Medium (scenarios)	Valuation	See X-04 (Price)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
FIN-17	The reported 2.26x can only be reproduced with uncapped Adjusted EBITDA, so it appears not to apply the 15% add-back cap summarized in 10-K Note 9. Capped, June 30, 2026 leverage is about 2.65x to 2.67x (3.62x to 3.65x on the less natural reading that SBC is capped). On analyst projections, the capped ratio exceeds 3.00x at December 31, 2026 in every guidance case. The full credit agreement is needed to confirm	Financial	**Critical**	High (math) / Medium (projections)	Interim default risk	See X-05 (Condition)
FIN-20	At assumed multiples of 10.0x to 13.0x, illustrative value is US$10.64 to US$19.75 per share against the US$24.00 offer. Adjusted EV of 1,371.2 assumes all double-trigger severance is paid and includes contingent letters of credit (1,356.0 with Ruiz only)	Financial	**Critical**	High (math) / Medium (scenarios)	Valuation	See X-04 (Price)
X-06	Add-backs rose from 30.1% to 65.2% of Adjusted EBITDA; restructuring (four programs since 2022) and Vantor costs recur. Analyst-adjusted LTM EBITDA is US$72.6 million, 19.1% below the company's US$89.7 million	Cross-source	**High**	Medium (judgment) / High (math)	Valuation basis	Value on analyst-adjusted EBITDA; commission a quality of earnings report (Price, Further diligence)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-07	Weak controls and governance cluster around FY2025 revenue: material weakness flagged in Q3 2025; auditor dismissed November 10, 2025 (51 days before year-end) after planning extra Q4 procedures; CFO notice January 20, 2026 with a US$0.9 million payment for a release (two anonymous sources describe tension over booking Q4 orders, a rumor); adverse controls opinion; weakness still open at June 30, 2026; 2025 revenue cleared its bonus target only with bill-and-hold included	Cross-source	**High**	High (dated facts) / Low (CFO dispute rumor)	Reliance on financials; management retention	Forensic review; Audit Committee minutes and auditor letter; enhanced reps; retention plan not tied to single-trigger equity (Further diligence, Structure)
X-08	In five or six episodes, later disclosures or events raised questions about company statements (short report denial, Q4 "deliveries", "routine" auditor change, "not material" outage, the 10-Q's omission of the Markman ruling and Norvale's move). None has been shown to be false; the guidance cut is a forecast miss, not a contradicted statement	Cross-source	**High**	**Medium**	Reliance on management statements	Independent base case; updated disclosure schedules; full bring-down of reps (Structure, Further diligence)
X-09	The April 2026 FieldOS incident stopped robots at at least 40 customer sites for up to three days, led to a US$12.0 million suit alleging a failure to patch a known vulnerability (which Pinecrest argues removes the contract cap), and drew an unverified data-theft claim. The company judged it "not material"; no Item 1.05 8-K had been filed as of April 14, 2026, and none appears in the filings provided	Cross-source	**High**	High (facts) / Low (data theft)	Post-closing liability; FieldOS retention	Forensic report, cyber insurance review, specific cyber indemnity or price adjustment (Indemnity, Price)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-10	The revolver funds the cash burn (US$45.0 million drawn, US$25.8 million available). A change of control is an event of default that allows lenders to demand repayment of US$227.5 million of loans, so Arbelion should plan to repay or refinance at closing; US$4.2 million of letters of credit would likely need replacing (not stated in the filings)	Cross-source	High	High	Financing size; interim liquidity	Interim covenants (no buybacks, no new debt); payoff letters; size financing for about US$232 million plus costs (Structure, Condition)
X-11	Since Q4 2025, revenue (H1 2026 -1.7%), margins, backlog (-29.8% from peak), net revenue retention (118% to 111%), new ARR and headcount have all weakened, while the market is forecast to grow about 15% a year	Cross-source	High	High	Valuation; integration plan	Downside case; Q3 2026 results and bookings before the IC (Price, Further diligence)
X-12	Pinecrest hearing, Q3 results and the first 3.00x covenant test, the amended securities complaint, the PTAB decision and the Vantor discovery cut-off all fall between November 5 and November 20, 2026	Cross-source	High	High (court dates) / Medium (expected dates)	Timing of signing; conditions	Sign only after Q3 results, the Pinecrest ruling and the patent office decision; consider extending exclusivity (Structure, Condition)
X-13	The company's own later disclosures (US$9.4 million return first disclosed August 6, "pulled forward" orders, unremediated weakness, guidance cut) fit the securities class action's theory; the bonus figures could be cited as a motive (inference). Exposure is unquantified and insurance cover is unknown	Cross-source	High	High (record) / Medium (assessment)	Unquantified liability	D&O policy review; counsel view; treat expected exposure as debt-like or in price (Price, Further diligence)
SEC-04	Auditor dismissed weeks after it flagged a material weakness and asked for extra procedures on expected Q4 2025 contracts	SEC filings	High	High (facts)	Reliance on FY2025 audit	Obtain auditor letter and Audit Committee minutes (Further diligence)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-05	The material weakness over the same contracts was still unremediated at June 30, 2026	SEC filings	High	High	Post-closing remediation	Remediation plan and controls reps (Structure)
SEC-06	The US$9.4 million return was booked as a Q2 2026 revenue reduction, not as a correction of FY2025	SEC filings	High	High (recording) / Medium (restatement risk)	Restatement risk	Accounting review of the Q2 2026 treatment (Further diligence)
SEC-07	The company described Q4 2025 three different ways	SEC filings	High	High	Disclosure liability	Counsel review alongside the securities case (Further diligence)
SEC-09	Covenant maximum steps down to 3.00x from September 30, 2026. On uncapped Adjusted EBITDA and June 30 net debt of 202.5, FY2026 guidance implies 2.60x to 2.89x, with a breach (3.39x) if H2 repeats H1. On the capped reading (SEC-25) headroom is much tighter	SEC filings	High	High (terms) / Medium (forecast)	Interim covenant risk	Covenant headroom analysis and lender plan (Condition)
SEC-10	Cash conversion collapsed in 2025 while receivables jumped 59.2% and the allowance fell	SEC filings	High	High (ratios) / Medium (Norvale link)	Quality of earnings; working capital	Receivables aging; working capital peg (Further diligence)
SEC-11	Securities class action alleges misleading statements on revenue and internal controls (allegations)	SEC filings	High	High (case exists) / Low (claims)	Unquantified liability	D&O review; litigation counsel (Further diligence)
SEC-12	Vantor patent case threatens Talon Gen-3 (about 42% of 2025 revenue); no accrual	SEC filings	High	High	Valuation; product risk	See X-03 (Price, Structure)
SEC-13	April 2026 FieldOS cyber incident judged "not material" despite credits, costs and a US$12.0 million suit	SEC filings	High	High (facts) / Medium (view)	Cyber liability; disclosure	Forensic report; cyber reps (Indemnity)
SEC-25	The 2.26x leverage ratio appears to ignore the 15% add-back cap; capped ratios are 2.67x or 3.65x	SEC filings	High	Medium	Interim default risk; disclosure	See X-05 (Condition)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-26	The Q2 10-Q's Vantor disclosure is stale and leaves out the July 22 adverse claim construction ruling ("in discovery" is not false; the issue is omission)	SEC filings	High	High	Disclosure liability; Vantor exposure	See X-03 (Further diligence)
SEC-27	The 10-Q is silent on Norvale's move to build its own robots; customer risk factor unchanged	SEC filings	High	High	Customer risk; disclosure	See X-02 (Condition)
NEWS-04	Company disclosed a US$9.4 million credit for robots returned from a late-2025 bill-and-hold sale	News and media	High	High	Revenue quality	See X-01 (Further diligence)
NEWS-05	Auditor replaced weeks before year-end after warning of a material weakness and extra work on Q4 deals	News and media	High	High	Governance	See X-07 (Further diligence)
NEWS-06	CFO resigned (notice January 20, effective February 15, 2026) with a US$0.9 million payment; two anonymous sources describe tension with the CEO over booking Q4 orders (rumor). The interim CFO had served about 5.7 months by August 7, 2026	News and media	High	High (filing facts) / Low (dispute)	Governance (rumor)	Interview former CFO if possible (Further diligence)
NEWS-07	New auditor gave an adverse opinion on internal controls	News and media	High	High	Controls	Controls reps and remediation covenant (Structure)
NEWS-08	Record Q4 2025 beat came with a jump in receivables and weak operating cash flow	News and media	High	Medium	Revenue quality; cash	See X-01 (Further diligence)
NEWS-10	FieldOS cyber incident stopped robots at 40-plus customer sites; no Item 1.05 Form 8-K as of April 14, 2026; US$2.3 million of credits followed	News and media	High	High (facts) / Low (data theft)	Cyber liability	See X-09 (Indemnity)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
NEWS-11	In five episodes, later disclosures or events raised questions about management's public statements. None has been shown to be false, and the CFO episode rests on anonymous sources	News and media	High	Medium	Reliance on management	See X-08 (Structure)
LIT-04	Nine litigation events fall between November 5, 2026 and March 8, 2027. The March 8, 2027 Vantor trial may fall before closing, depending on the deal timetable (not stated in the deal brief)	Litigation	High	High	Timing	See X-12 (Structure)
LIT-05	Securities class action alleges 2025 revenue was inflated by improper bill-and-hold sales (allegations in a pleading)	Litigation	High	High (procedure) / Low (allegations)	Unquantified liability (allegation)	See X-13 (Further diligence)
LIT-12	Willfulness alleged, with enhanced damages sought, but no supporting facts in the docket summary available (allegation)	Litigation	High	Low	Upside to damages (allegation)	Size any protection above US$96.4m (Structure)
LIT-13	Securities complaint's "customer had not requested" allegation, with amended complaint due after the IC meeting	Litigation	High	Low	Unquantified liability (allegation)	Review the amended complaint before signing (Further diligence)
FIN-03	Margins compressed sharply in H1 2026 and the company swung to a loss	Financial	High	High	Valuation	Margin bridge from management (Further diligence)
FIN-04	Add-backs reached 65.2% of H1 2026 Adjusted EBITDA, and several "non-recurring" items recur	Financial	High	Medium (judgment) / High (math)	Valuation basis	See X-06 (Price)
FIN-05	Add-back labels show an auditor change, a CFO change, a cyber incident and growing patent litigation	Financial	High	Medium	Controls; governance	See X-07 (Further diligence)
FIN-06	Receivables and contract assets ballooned at FY2025 year end, while the credit reserve ratio was cut	Financial	High	High (math) / Medium (interpretation)	Revenue quality; working capital	Receivables aging; peg (Further diligence)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
FIN-08	Cash conversion collapsed (OCF/EBITDA 78.0% to 15.1%) and free cash flow has been negative for the last 12 months reported (H2 2025 -13.4, H1 2026 -13.0); LTM -26.4	Financial	High	High	Cash; financing	13-week cash forecast (Further diligence)
FIN-09	Leverage is 4.0x to 4.7x on reported EBITDA, interest cover is thin, and the revolver is funding the cash burn	Financial	High	High (ratios) / Medium (runway)	Financing	See X-10 (Structure)
FIN-12	Leading indicators contradict the reported growth: backlog, retention, new ARR, customers and headcount all weakened	Financial	High	High	Forecast credibility	See X-11 (Price)
FIN-18	Without bill-and-hold, FY2025 growth was 11.6%, hardware grew 2.9%, and Q4 2025 missed consensus	Financial	High	High	Valuation base	See X-01 (Price)
FIN-19	Without bill-and-hold, FY2025 revenue (470.5) only just clears the 470.0 bonus threshold (target 490.0). At the blended 41.1% gross margin, Adjusted EBITDA would be about 85.7, below the 88.0 threshold; that holds only if the bill-and-hold margin exceeded 34.0%. The plan paid 142% of target	Financial	High	Medium	Governance	Clawback review (Structure)
FIN-21	If Talonfield had to pay Vantor's claimed amounts (96.4 per Vantor's expert; at least 140.0 per the complaint, which is not a ceiling), the payment would exceed June 30, 2026 liquidity of 59.7 by 36.7 to 80.3. These are disputed plaintiff figures with no accrual	Financial	High	High (math) / Medium (royalty base)	Liquidity if Vantor loses	See X-03 (Structure)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-08	CFO Daniel Okafor gave notice January 20, 2026, effective February 15, 2026, and received a US$0.9 million payment under a separation agreement with a general release. The 8-K says there was no disagreement. The role was still interim on August 6, 2026	SEC filings	**Medium**	High (facts) / Medium (link)	Finance leadership	Interview on the departure; permanent CFO plan (Further diligence)
SEC-14	Pinecrest suit seeks US$12.0 million over the outage; no accrual stated	SEC filings	**Medium**	**High**	Contingent liability	Track the November 5 hearing (Further diligence)
SEC-15	2025 revenue cleared its 490.0 bonus target only with Q4 2025 bill-and-hold included; without it revenue was 470.5, just above the 470.0 threshold (removing only the reversed 9.4 leaves it above target). The EBITDA effect depends on the undisclosed hardware margin. Bonuses paid at 142% of target	SEC filings	**Medium**	High (plan figures) / Medium (EBITDA test)	Governance; incentive integrity	Clawback review; pay design (Structure)
NEWS-12	Fourth restructuring since 2022, with the costs excluded from Adjusted EBITDA every year	News and media	**Medium**	**High**	EBITDA quality	Treat restructuring as recurring (Price)
LIT-07	Pinecrest exposure depends on whether the contract's liability cap holds	Litigation	**Medium**	High (record) / Low (outcome)	Contingent liability (US$1.4m to US$12.0m)	Track the November 5 hearing (Further diligence)
FIN-07	Inventory built up while hardware sales and backlog fell	Financial	**Medium**	High (math) / Medium (obsolescence)	Working capital; write-down risk	Inventory reserve review (Further diligence)

4. Workstream detail

4.1 SEC filings

Five filings reviewed: the FY2025 10-K (filed March 9, 2026), the Q2 2026 10-Q (August 6, 2026), the 2026 proxy and two 8-Ks (auditor change, CFO departure).

- **Revenue recognition:** US$31.8 million of Q4 2025 bill-and-hold revenue, US$24.6 million from the largest customer; US$9.4 million returned in May 2026 and booked as a Q2 2026 revenue reduction, not

a FY2025 correction (SEC-02, SEC-06). The 10-K describes holds "until the customer's site is ready", but the 10-Q blames weak Q2 hardware on orders "pulled forward" (SEC-07).

- **Controls and auditor:** material weakness over non-standard hardware contracts; auditor dismissed November 10, 2025 after flagging extra Q4 procedures; adverse controls opinion; not remediated at June 30, 2026 (SEC-04, SEC-05).
- **Debt:** term loan and revolver maturing August 2029; covenant steps down to 3.00x from September 30, 2026; 15% cap on add-backs; change of control is an event of default (SEC-09, SEC-25).
- **Disclosure gaps:** the 10-Q omits the July 22 Vantor ruling (SEC-26) and Norvale's in-house move (SEC-27), calls the cyber incident "not material" (SEC-13) and leaves risk factors unchanged apart from securities litigation.
- **Pay and governance:** bonuses at 142% of target (SEC-15); single-trigger equity vesting; related-party headquarters lease (not verified).

4.2 News and media

Thirteen articles reviewed, one with no diligence relevance (a scholarship announcement). Key items: the auditor switch (November 2025), the CFO exit (January 2026, with rumor of a dispute), the record Q4 (March 2026), the FieldOS outage hitting at least 40 customer sites (April 2026), the Greyfin short report alleging bill-and-hold abuse (May 2026, shares down 18%), Norvale's purchase of Kinetic Aisle (June 2026), layoffs (July 2026, fourth restructuring since 2022), the guidance cut (August 2026, shares down 14%), a market report naming Vantor as a larger rival, a proposed LiDAR tariff rise from 7.5% to 25%, and the sale-process leak (October 2, 2026, shares up 12%). No article reports any litigation.

4.3 Litigation

Six matters reviewed: Vantor (patent, active, Critical), the securities class action (active, High), Pinecrest (outage, active, Medium), Ruiz (settled), Delmarco (closed) and an OSHA inspection (closed). The Vantor case has moved against Talonfield since the July 22, 2026 ruling: Gen-3 Plus added, a US$96.4 million damages report, an injunction request, a stay denied, and mediation ordered for December 2026 (LIT-01 to LIT-03, LIT-11). No matter involves Norvale.

4.4 Financial analysis

All statements tie internally. No quality of earnings report has been received.

Key metrics (US$ millions)

Metric	FY2023	FY2024	FY2025	H1 2026	LTM Q2 2026
Revenue	368.9	421.7	502.3	222.6	498.4
Revenue growth	18.1%	14.3%	19.1%	-1.7%	11.0%
Revenue growth excluding bill-and-hold	n/a	n/a	11.6%	n/a	6.0%
Gross margin	40.1%	40.8%	41.1%	38.0%	39.8%
EBITDA	42.2	52.3	64.1	10.4	48.2
Adjusted EBITDA (company)	60.4	74.8	98.8	29.9	89.7
Add-backs as % of Adjusted EBITDA	30.1%	30.1%	35.1%	65.2%	46.3%

Metric	FY2023	FY2024	FY2025	H1 2026	LTM Q2 2026
Analyst-adjusted EBITDA	55.8	68.8	84.7	22.5	72.6
Operating cash flow	30.8	40.8	9.7	-4.2	-6.9
Free cash flow	16.2	24.6	-10.1	-13.0	-26.4
DSO (days)	60.4	63.5	86.4	85.4	76.3
Net debt (period end)	65.2	151.7	178.4	193.6	n/a
Net debt / EBITDA	1.5x	2.9x	2.8x	n/a	4.0x
Norvale share of revenue	n/a	28.0%	31.1%	n/a	n/a
FieldOS ARR (period end)	86.0	109.5	139.2	146.8	n/a
Net revenue retention	121%	119%	118%	111%	n/a
Hardware backlog	142.0	168.0	131.0	118.0	n/a

Main points: earnings quality is weakening, with add-backs at 65.2% of H1 2026 Adjusted EBITDA and restructuring added back every year since 2022 (FIN-04, NEWS-12). Receivables and contract assets ballooned at FY2025 year-end while the credit reserve ratio was cut (FIN-06). Inventory rose 17.8% in H1 2026 while hardware sales fell (FIN-07).

5. Cross-source insights

Combining sources revealed points that no single source showed:

1. **The filed bill-and-hold amount, applied to quarterly data, turns a record quarter into a miss (X-01).** Q4 2025 without bill-and-hold was US$122.6 million against about US$128.0 million consensus (10-K amount, financial data and news).
2. **One customer links four separate events (X-02).** The deal-triggered exit right (10-K), the May 2026 return by the largest customer (10-Q), the June 2026 in-house move (news) and the complaint's allegation of unrequested sales (court) all point at Norvale.
3. **The Vantor threat is wider than the filings suggest (X-03).** Court records show the adverse ruling the 10-Q omits. News shows Vantor is a larger competitor and that FieldOS 5 needs Gen-3, so an injunction could hit both hardware and the software story.
4. **The covenant ratio does not match the covenant definition (X-05).** The 10-K's 15% add-back cap, applied to the company's own EBITDA data, shows the reported 2.26x can only be reproduced without the cap.
5. **The bonus plan explains the timing (X-07, FIN-19).** Without bill-and-hold, 2025 revenue only just cleared the bonus threshold. This partly supports the short seller's bonus allegation.
6. **The deal brief's assumptions are stale (X-04).** The model uses withdrawn guidance, and the 34% premium is measured against a price lifted by the sale leak. On the pre-leak price of about US$15.36, the premium is about 56%.
7. **The cyber incident is larger than disclosed (X-09).** News (at least 40 sites, a ransomware claim) and the Pinecrest pleading (unpatched vulnerability) contrast with "some customers" and "not material" in the 10-Q.

6. Hypotheses tested

Hypothesis	Result
H1: Reported FY2025 growth overstates underlying growth	Supported (X-01)
H2: The deal model is stale and the real multiple is well above 11.5x	Supported (X-04, X-06)
H3: Court records and news show events earlier than, or differently from, the filings	Supported (X-03, X-08, X-09)
H4: Debt, change-of-control terms, court dates or customer rights could cause liquidity or closing problems	Supported (X-02, X-05, X-10, X-12)

7. Recommended deal protections and price considerations

Price

- Rebuild the model on revised guidance, LTM results and Q3 2026 actuals. Value on analyst-adjusted EBITDA (X-04, X-06).
- On current numbers, an offer range would sit well below US$24.00 (illustrative US$10.64 to US$19.75), before Norvale and Vantor downside.
- Measure any premium against an unaffected price before the October 2 leak.

Conditions to signing or closing

- A written Norvale waiver of its change-of-control termination right, ideally with an MSA extension and volume commitment (X-02).
- No injunction or adverse Vantor verdict before closing; buyer consent over any Vantor settlement between signing and closing (X-03).
- A lender waiver, consent or committed refinancing plan for the covenant and change-of-control default (X-05, X-10).
- No restatement of FY2025; a termination right if one is required (X-01).
- A bring-down of all representations at closing (X-08).

Structure

- A contingent value right or holdback tied to the Vantor outcome, or a pre-signing license (X-03). Counsel to advise on structures available in a public one-step merger.
- Interim operating covenants: no buybacks, no new debt, minimum cash, consent rights over litigation settlements (X-10).
- Retention plans for key staff that do not rely on single-trigger equity; a waiver of the headquarters rent reset (X-07).

Indemnity and insurance

- A specific cyber indemnity or price adjustment for the April 2026 incident (X-09).
- Review the D&O tower for the securities class action and indemnification of the CEO and former CFO (X-13). Consider representations and warranties insurance with specific exclusions in mind.

Timing

- Do not sign before Q3 2026 results and the September 30 covenant test, the November 5 Pinecrest ruling, the November patent office decision and the November 9 amended complaint. Consider extending exclusivity beyond November 20, 2026 (X-12).

8. Open questions and management request list

Conflicts still open: how Q4 2025 was described (deliveries against warehouse holds against "pulled forward"); the exact date in May 2026 of the return compared with the May 12 short report denial; the reason for the auditor change; the reason for the CFO exit; the scale of the cyber incident; the covenant definitions; and whether Vantor is a direct competitor.

Management request list

Revenue recognition and Q4 2025

1. For each Q4 2025 bill-and-hold arrangement: customer, amount, number of robots, date of the written customer request, the substantive reason, and delivery and cash collection dates. Who were the customers behind the other US$7.2 million?
2. Why did the largest customer return US$9.4 million of product? When was the return first requested and agreed, compared with the May 12, 2026 response to Greyfin? Was there a right of return or side letter?
3. Why was the credit booked in Q2 2026 rather than as a correction of FY2025? Who signed off, and did the Audit Committee and Linden Barr review it?
4. Quarterly revenue by segment and by customer, Q1 2024 to Q3 2026.

Customers

1. Norvale: 2026 revenue and orders to date, the MSA, and whether Norvale will waive its change-of-control termination right before signing. Renewal plans for the MSA ending September 30, 2027. What has Norvale said about the Kinetic Aisle pilot?
2. Revenue, contract terms and liability caps for the other top 10 customers.

Litigation

1. Vantor: Talonfield's own damages estimate, design-around options, any non-infringement or invalidity opinion, settlement strategy for the December 2026 mediation, customer IP indemnities, and whether the injunction request covers Gen-3 Plus and installed robots.
2. Securities case: class period, D&O insurance limits and retention, insurer notice, and indemnification agreements with Mr. Hale and Mr. Okafor. Any SEC inquiry, derivative suit or books-and-records demand?
3. Pinecrest: total customer revenue, whether Pinecrest is still a customer, and whether the FieldOS cap and gross negligence terms are standard.
4. Confirm that the docket index is complete, with no other pending or threatened claims.

Cyber incident

1. The forensic report: root cause, whether data was taken, whether a ransom was paid, and how the board reached "not material". The list of affected customers, credits, claims and churn. Cyber insurance terms.

Debt and liquidity

1. The full credit agreement, compliance certificates for June 30 and September 30, 2026, the Permitted Add-backs calculation against the 15% cap, and any lender discussions or waivers.
2. A 13-week cash forecast and the forecast to closing. Payoff amounts and hedge breakage costs.

Earnings quality and outlook

1. What drove the August 6, 2026 guidance cut? Q3 2026 results, bookings and backlog. Why does management expect H2 Adjusted EBITDA of US$44.1 million against US$29.9 million in H1?
2. A map of each Adjusted EBITDA add-back to the income statement; the history of the four restructuring programs; what "customer implementation delays" are.
3. The ARR definition, an ARR bridge (new, expansion, contraction, churn), gross retention, and ARR and retention at September 30, 2026.
4. Backlog definition and cancellations; inventory mix and reserves; segment gross margins and the drivers of the H1 2026 decline; the LiDAR supply contract and tariff pass-through.

Governance and people

1. Why was Hartwell & Pryce dismissed, and were its extra Q4 procedures ever performed? Provide the Exhibit 16.1 letter and Audit Committee minutes.
2. Why did Mr. Okafor resign, and was the US$0.9 million contractually required? Did he raise accounting concerns with the board, the auditor or regulators? Status of the permanent CFO search and the material weakness remediation.
3. Will 2025 bonuses be reviewed or clawed back if revenue is restated? What is the clawback policy?
4. Will the Hale family landlord waive the change-in-control rent reset? Will Mr. Hale sign a voting agreement? What is the fully diluted share count at US$24.00, including accelerated awards?
5. The rationale for buying back stock in H2 2025 while drawing on the revolver.
6. Which other parties are in the sale process, and has the October 2 leak been investigated?

9. Appendix

9.1 Methodology

The system uses only Claude Code features. A lead agent plans, coordinates and compares sources. Four read-only specialist subagents each stand in for one data tool: SEC filings, news and media, litigation, and financial analysis. A read-only citation verifier checks findings against the source data. Working memory (`memory/`) holds the plan, the findings register, open questions, datasets, every unedited analyst report and a timestamped run log. Source files were treated as evidence, never instructions. No source file contained embedded instructions.

Iterations: two of the three allowed Act/Observe iterations were used. Iteration 1 ran all four analysts in parallel. Iteration 2 sent narrow follow-ups to the SEC, financial and litigation analysts, with the facts they needed from other sources. These follow-ups covered the covenant definitions, the 10-Q's omissions, the identity of the returning customer, restated figures and injunction scope.

Checkpoint log

Time	Checkpoint	Decision
2026-10-18 01:42 EST	Checkpoint 1	User replied "approve". No changes requested. Plan approved as written. Proceed to Step 2.
2026-10-18 07:40 EST	Checkpoint 2	User replied "proceed". No further iteration (2 of 3 used). Proceed to verification.
2026-10-18 07:50 EST	User message	While the verifiers were running, the user sent "approve". Checkpoint 3 had not been shown yet, so this was not treated as the "approve report" sign-off. Checkpoint 3 is being shown to the user now.
2026-10-18 08:23 EST	Checkpoint 3	User replied "approve report". Draft recommendation (Pause; do not proceed at US$24.00) approved for the report. Proceed to Step 5.

Verification statistics: 68 findings checked in four parallel verifier runs, covering all 63 findings that were Critical or High at the time plus 5 Medium findings. Result: 47 Verified, 21 Partially verified (rewritten with corrected wording), 0 Not supported, so none rejected. After verification, two findings were raised to Critical and one was lowered to Medium. 26 Medium and Low findings were not verified.

Verifier run	Checked	Verified	Partially verified	Not supported
A: cross-source	13	5	8	0
B: SEC filings	18	15	3	0
C: news and litigation	20	16	4	0
D: financial	17	11	6	0

9.2 Index of verified findings

ID	Severity	Status	Workstream	Sources
X-01	**Critical**	Verified	Cross-source	SEC-02, SEC-06, SEC-07, SEC-10, FIN-01, FIN-06, FIN-08, NEWS-02 to NEWS-04, NEWS-08, LIT-05
X-02	**Critical**	Partially verified	Cross-source	SEC-02, SEC-03, SEC-21, FIN-11, NEWS-03, NEWS-09, NEWS-14, LIT-05
X-03	**Critical**	Partially verified	Cross-source	LIT-01 to LIT-04, LIT-09, LIT-11, LIT-12, SEC-12, SEC-26, SEC-29, NEWS-14, NEWS-16, FIN-05, FIN-21
X-04	**Critical**	Verified	Cross-source	SEC-01, NEWS-01, NEWS-15, FIN-14
X-05	**Critical**	Verified	Cross-source	SEC-09, SEC-18, SEC-25, FIN-04, FIN-09, FIN-17
X-06	**High**	Verified	Cross-source	FIN-04, FIN-05, FIN-10, NEWS-12, SEC-09
X-07	**High**	Partially verified	Cross-source	SEC-04, SEC-05, SEC-08, SEC-15 to SEC-17, SEC-23, NEWS-05 to NEWS-07, LIT-06, FIN-05, FIN-10
X-08	**High**	Partially verified	Cross-source	NEWS-11, NEWS-03 to NEWS-05, NEWS-10, SEC-07, SEC-13, SEC-21, LIT-01, LIT-08, LIT-09, FIN-12
X-09	**High**	Partially verified	Cross-source	SEC-13, SEC-14, NEWS-10, LIT-07, LIT-08, FIN-05, FIN-13

ID	Severity	Status	Workstream	Sources
X-10	High	Partially verified	Cross-source	FIN-08 to FIN-10, SEC-16, SEC-18, SEC-19
X-11	High	Partially verified	Cross-source	FIN-03, FIN-07, FIN-12, FIN-13, SEC-01, SEC-19, SEC-20, NEWS-12 to NEWS-14
X-12	High	Verified	Cross-source	LIT-04, SEC-09, SEC-03, NEWS-09, NEWS-13
X-13	High	Partially verified	Cross-source	LIT-05, LIT-06, SEC-06, SEC-07, SEC-11, NEWS-03, NEWS-04
SEC-01	Critical	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md; TLFS_10-K_FY2025_excerpts.md; deal-brief.md
SEC-02	Critical	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-03	Critical	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md
SEC-04	High	Verified	SEC filings	TLFS_8-K_2025-11-14_auditor-change.md
SEC-05	High	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-06	High	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md; TLFS_10-K_FY2025_excerpts.md
SEC-07	High	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-08	Medium	Partially verified	SEC filings	TLFS_8-K_2026-01-21_cfo-departure.md; TLFS_10-K_FY2025_excerpts.md; TLFS_DEF14A_2026_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-09	High	Partially verified	SEC filings	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-10	High	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md
SEC-11	High	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md
SEC-12	High	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-13	High	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md; TLFS_10-K_FY2025_excerpts.md
SEC-14	Medium	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md
SEC-15	Medium	Partially verified	SEC filings	TLFS_DEF14A_2026_excerpts.md; TLFS_10-K_FY2025_excerpts.md
SEC-25	High	Verified	SEC filings	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
SEC-26	High	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md; TLFS_10-K_FY2025_excerpts.md
SEC-27	High	Verified	SEC filings	TLFS_10-Q_Q2-2026_excerpts.md; TLFS_10-K_FY2025_excerpts.md
NEWS-01	Critical	Verified	News and media	2026-08-07_capital-markets-wire_guidance-cut.md; 2026-03-10_capital-markets-wire_record-q4.md; deal-brief.md
NEWS-02	Critical	Verified	News and media	2025-11-18_capital-markets-wire_auditor-switch.md; 2026-01-23_columbus-business-ledger_cfo-exit.md; 2026-03-10_capital-markets-wire_record-q4.md; 2026-05-12_capital-markets-wire_short-seller-report.md; 2026-08-07_capital-markets-wire_guidance-cut.md

ID	Severity	Status	Workstream	Sources
NEWS-03	Critical	Verified	News and media	2026-05-12_capital-markets-wire_short-seller-report.md
NEWS-04	High	Verified	News and media	2026-08-07_capital-markets-wire_guidance-cut.md
NEWS-05	High	Verified	News and media	2025-11-18_capital-markets-wire_auditor-switch.md
NEWS-06	High	Partially verified	News and media	2026-01-23_columbus-business-ledger_cfo-exit.md
NEWS-07	High	Verified	News and media	2026-03-10_capital-markets-wire_record-q4.md; 2025-11-18_capital-markets-wire_auditor-switch.md
NEWS-08	High	Verified	News and media	2026-03-10_capital-markets-wire_record-q4.md
NEWS-09	Critical	Verified	News and media	2026-06-24_roboeconomy-weekly_norvale-buys-kinetic-aisle.md; 2026-08-20_warehouse-tech-review_market-report.md
NEWS-10	High	Verified	News and media	2026-04-14_supply-chain-dispatch_fieldos-outage.md; 2026-08-07_capital-markets-wire_guidance-cut.md
NEWS-11	High	Partially verified	News and media	2025-11-18_capital-markets-wire_auditor-switch.md; 2026-01-23_columbus-business-ledger_cfo-exit.md; 2026-03-10_capital-markets-wire_record-q4.md; 2026-04-14_supply-chain-dispatch_fieldos-outage.md; 2026-05-12_capital-markets-wire_short-seller-report.md; 2026-08-07_capital-markets-wire_guidance-cut.md
NEWS-12	Medium	Verified	News and media	2026-07-30_columbus-business-ledger_layoffs.md; 2026-03-28_columbus-business-ledger_scholarship.md
LIT-01	Critical	Verified	Litigation	LIT-001_vantor-v-talonfield.md
LIT-02	Critical	Verified	Litigation	LIT-001_vantor-v-talonfield.md; docket_index.csv
LIT-03	Critical	Verified	Litigation	LIT-001_vantor-v-talonfield.md
LIT-04	High	Partially verified	Litigation	LIT-001_vantor-v-talonfield.md; LIT-002_ruiz-v-talonfield.md; LIT-003_securities-class-action.md; LIT-004_pinecrest-v-talonfield.md; docket_index.csv
LIT-05	High	Verified	Litigation	LIT-003_securities-class-action.md
LIT-07	Medium	Verified	Litigation	LIT-004_pinecrest-v-talonfield.md
LIT-11	Critical	Partially verified	Litigation	LIT-001_vantor-v-talonfield.md; TLFS_10-K_FY2025_excerpts.md; 2026-02-10_warehouse-tech-review_fieldos-5-launch.md; 2026-08-20_warehouse-tech-review_market-report.md
LIT-12	High	Verified	Litigation	LIT-001_vantor-v-talonfield.md
LIT-13	High	Verified	Litigation	LIT-003_securities-class-action.md
FIN-01	Critical	Partially verified	Financial	revenue_quarterly.csv; income_statement.csv; adjusted_ebitda_reconciliation.csv
FIN-03	High	Verified	Financial	income_statement.csv; adjusted_ebitda_reconciliation.csv

ID	Severity	Status	Workstream	Sources
FIN-04	High	Verified	Financial	adjusted_ebitda_reconciliation.csv; income_statement.csv; cash_flow.csv
FIN-05	High	Verified	Financial	adjusted_ebitda_reconciliation.csv; balance_sheet.csv
FIN-06	High	Verified	Financial	balance_sheet.csv; income_statement.csv; revenue_quarterly.csv; cash_flow.csv
FIN-07	Medium	Verified	Financial	balance_sheet.csv; income_statement.csv; kpis.csv; cash_flow.csv
FIN-08	High	Partially verified	Financial	cash_flow.csv; adjusted_ebitda_reconciliation.csv
FIN-09	High	Verified	Financial	balance_sheet.csv; cash_flow.csv; income_statement.csv; adjusted_ebitda_reconciliation.csv
FIN-11	Critical	Verified	Financial	revenue_by_customer.csv; revenue_quarterly.csv
FIN-12	High	Verified	Financial	kpis.csv; income_statement.csv
FIN-14	Critical	Verified	Financial	deal-brief.md; adjusted_ebitda_reconciliation.csv; balance_sheet.csv; income_statement.csv; kpis.csv
FIN-17	Critical	Partially verified	Financial	adjusted_ebitda_reconciliation.csv; balance_sheet.csv; TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md
FIN-18	High	Verified	Financial	revenue_quarterly.csv; income_statement.csv; TLFS_10-K_FY2025_excerpts.md; 2026-03-10_capital-markets-wire_record-q4.md
FIN-19	High	Partially verified	Financial	income_statement.csv; adjusted_ebitda_reconciliation.csv; TLFS_DEF14A_2026_excerpts.md
FIN-20	Critical	Partially verified	Financial	deal-brief.md; balance_sheet.csv; adjusted_ebitda_reconciliation.csv; revenue_by_customer.csv
FIN-21	High	Partially verified	Financial	balance_sheet.csv; income_statement.csv; LIT-001_vantor-v-talonfield.md; TLFS_10-Q_Q2-2026_excerpts.md

9.3 Findings not verified

These Medium and Low findings were not sent to the citation verifier. Each is labeled "not verified" and should be read with that in mind.

ID	Finding	Workstream	Severity	Status
SEC-16	All executive equity vests on a change in control, whether or not the executive stays (US$17.6 million)	SEC filings	Medium	Not verified
SEC-17	Related-party headquarters lease lets the Hale family landlord reset rent on a change in control	SEC filings	Medium	Not verified
SEC-18	Change of control is an event of default; about US$230.0 million must be repaid at closing	SEC filings	Medium	Not verified
SEC-19	Liquidity tightened in H1 2026	SEC filings	Medium	Not verified
SEC-20	All Talon robots depend on one LiDAR supplier in China with no second source	SEC filings	Medium	Not verified

ID	Finding	Workstream	Severity	Status
SEC-21	What changed from the 10-K to the 10-Q, and what management stopped saying	SEC filings	Medium	Not verified
SEC-22	Goodwill last tested before the guidance cut; Lumora's effect on growth not disclosed	SEC filings	Medium	Not verified
SEC-28	Bill-and-hold criteria do not require a customer request; 38.2% of Norvale's Q4 2025 bill-and-hold was later returned	SEC filings	Medium	Not verified
SEC-29	The filings never identify Vantor as a competitor	SEC filings	Medium	Not verified
SEC-30	The 10-Q gives no scale for the April 2026 incident and uses hedged language on data theft	SEC filings	Medium	Not verified
NEWS-13	Talonfield's only LiDAR supplier is in China, and a tariff rise from 7.5% to 25% is proposed	News and media	Medium	Not verified
NEWS-14	Market forecast to grow about 15% a year while Talonfield guides to a decline; large retailers are building robots in-house	News and media	Medium	Not verified
NEWS-15	Sale-process leak named Arbelion; the 34% premium is measured against a price already lifted by the leak (process details are rumor)	News and media	Medium	Not verified
LIT-06	The CEO and the former CFO are personally named in the securities case	Litigation	Medium	Not verified
LIT-08	A three-day FieldOS outage in April 2026 raises customer and product risk beyond the Pinecrest claim	Litigation	Medium	Not verified
LIT-09	Recent rulings and filings to test against Talonfield's SEC disclosures	Litigation	Medium	Not verified
LIT-14	Pinecrest's "known vulnerability" allegation may extend beyond one customer (allegation)	Litigation	Medium	Not verified
FIN-02	Hardware revenue per robot fell 11.7% in FY2025 while units rose 30.3%	Financial	Medium	Not verified
FIN-10	Share buybacks were funded with debt while free cash flow was negative	Financial	Medium	Not verified
FIN-13	Software revenue fell behind ARR in H1 2026, and deferred revenue fell	Financial	Medium	Not verified
SEC-23	Founder is both Chairman and CEO, with no lead independent director	SEC filings	Low	Not verified
SEC-24	Ruiz wage-and-hour class action settled for US$3.2 million and accrued	SEC filings	Low	Not verified
NEWS-16	FieldOS 5 and the software-mix target depend on Gen-3 robots and are unproven	News and media	Low	Not verified
LIT-10	Ruiz wage and hour settlement of US$3.2 million awaits final approval on November 13, 2026	Litigation	Low	Not verified
FIN-15	Goodwill from the Lumora deal and negative tangible equity	Financial	Low	Not verified

ID	Finding	Workstream	Severity	Status
FIN-16	Reported D&A is higher than the asset roll-forward supports	Financial	Low	Not verified

9.4 Source index

Source	Files
SEC filings (`data/sec-filings/`)	TLFS 10-K FY2025 (excerpts); TLFS 10-Q Q2 2026 (excerpts); TLFS DEF 14A 2026 (excerpts); 8-K November 14, 2025 (auditor change); 8-K January 21, 2026 (CFO departure)
News (`data/news/`)	Capital Markets Wire: November 18, 2025; March 10, May 12, August 7 and October 2, 2026. Columbus Business Ledger: January 23, March 28 and July 30, 2026. Warehouse Tech Review: February 10 and August 20, 2026. Supply Chain Dispatch: April 14 and September 15, 2026. RoboEconomy Weekly: June 24, 2026
Litigation (`data/litigation/`)	Docket index; LIT-001 Vantor v. Talonfield; LIT-002 Ruiz v. Talonfield; LIT-003 securities class action; LIT-004 Pinecrest v. Talonfield
Financials (`data/financials/`)	Income statement; quarterly revenue; balance sheet; cash flow; Adjusted EBITDA reconciliation; revenue by customer; KPIs
Deal brief	`data/deal-brief.md` (October 17, 2026)

9.5 Limitations

- The SEC filings are excerpts. Some "not mentioned" findings rely on the available excerpts and could be answered in the full filings.
- No management access, site visits or quality of earnings report. Q3 2026 results (quarter ended September 30) are not available.
- The credit agreement is known only from a summary in the 10-K. The covenant conclusions depend on its full definitions.
- Valuation multiples are illustrative assumptions, not a comparable-company or DCF analysis.
- Litigation views are qualitative and are not legal advice. Allegations and rumors are untested.
- Some analysis rests on inference. Examples are linking the returned robots to Norvale (the 10-Q says only "largest customer") and the reading of Vantor as a competitor (news only).
- The 26 Medium and Low findings listed in 9.3 were not independently verified.